

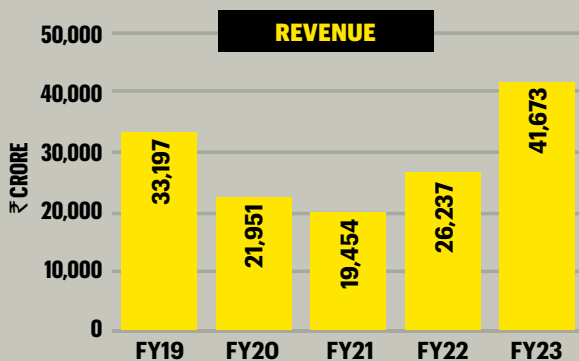
everyone was feeling that this momentum would continue till March 31, 2020. But the industry started slowing down, much to the surprise of all of us,” he says. “But I would think that because we had five good years, there was bound to be this slowdown.”

The FY20 fall actually coincided with the dip in India’s economic growth that year, when GDP growth slid to 3.87 per cent from 6.45 per cent in FY19, per data from CMIE Economic Outlook. That year, commercial vehicle sales fell 28.76 per cent, with goods carriers of all sizes, including large trucks, tippers and haulage (technically called M&HCV or medium & heavy commercial vehicles) as well as small trucks, pickups, etc. (called LCV or light commercial vehicles), bearing the brunt of the fall, plunging 47.48 per cent and 20.74 per cent, respectively. (It is pertinent to note that goods

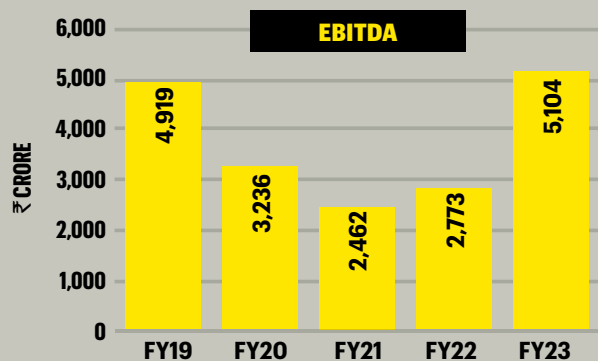
possibility that the peak will be scaled next fiscal, even though growth will likely not be as spectacular. Both heavy and light vehicle categories recorded impressive growth, with M&HCV volumes growing 49.23 per cent, and LCV volumes, considering they comprise more than two-thirds of all CV sales, clocking an even more impressive 26.78 per cent. “The drivers of growth were a pickup in mining, infrastructure and construction activities, and the continued growth we have seen in e-commerce and logistics, which have resulted in very healthy utilisation of fleet levels,” says Arti Roy, Associate Director of ratings agency CareEdge, adding that on top of this, replacement demand has been improving. This rising tide has lifted all boats in the CV industry, with the industry overall growing volumes at 34.32 per cent in FY23, and majors Tata Motors and M&M clocking 21.34 per cent

RISING TIDE

Revenues in FY23 are higher than pre-Covid-19 years...



...so are the Ebitda numbers...



ALL NUMBERS REPRESENT CONSOLIDATED FINANCIALS OF ASHOK LEYLAND LIMITED FOR FY23; **EBITDA**: EARNINGS BEFORE INTEREST, TAXES, PAT: PROFIT AFTER TAX; **ROCE**: RETURN ON CAPITAL EMPLOYED; **ROE**: RETURN ON EQUITY; **SOURCE**: COMPANY

carriers comprise more than 90 per cent of India’s CV market and therefore dictate market movements.)

The FY20 slowdown rapidly degenerated into a free fall once the pandemic and the lockdowns struck. As the country went off the roads, sales of trucks, buses and smaller commercial vehicles such as pickups and even passenger carriers (buses, mini-buses, etc.) plunged like never before, sending the industry’s numbers down a further 20.77 per cent in FY21. Overall, from a peak volume sales of more than 1 million vehicles in FY19, overall CV sales had plunged by almost half to 568,559 units by the end of FY21.

The recovery since has been sharp, with volumes improving to 716,566 in FY22 and 962,468 in FY23, almost touching the peak FY19 numbers, with every

and 40.35 per cent volume growth, respectively.

But it was Ashok Leyland that raced atop the growth peak, clocking an impressive 54.22 per cent volume growth across all segments combined. This has come on the back of an improved product portfolio both in M&HCVs, which is its traditional business, and in LCVs, where the bulk of its sales come from primarily one segment that it entered in 2012. Some bold moves helped. During the pandemic, in April 2020, Ashok Leyland introduced the AVTR range of modular trucks (customers can choose from a variety of options and virtually create a truck of their own), which helped its market share in M&HCVs climb to almost 32 per cent in FY23 from 27 per cent in FY22. And in the lone LCV segment where it performs well, it introduced the Bada Dost pickup in